

Day 1 — Paytm UPI

Industry: Fintech & Payments

Company: Paytm

Product: Paytm UPI

Case study type: Product improvement + UX + customer support

1. Why I chose Paytm

For the first day of this challenge, I wanted to pick a product that people use frequently and where even a small product problem can create a lot of stress.

Paytm was an obvious candidate because UPI is something people use for very small everyday payments as well as important transactions.

I started looking at customer complaints rather than deciding on a problem first.

I looked at public discussions, app-store reviews, Reddit conversations and Paytm's own support documentation.

One pattern kept appearing:

When something goes wrong with a payment, customers often struggle to understand what happened, what they should do next, and where their money currently is.

This became the problem I wanted to explore.

2. What I found from customers

I found several different versions of the same underlying issue.

Example 1 — Refund marked successful but money not received

One recent Google Play review describes a customer who paid through Paytm for a Jiomart order. Some items were later refunded, but the customer said the refund did not reach their bank account.

The customer had already raised a support ticket, but said the issue had not been resolved.

The review had received 39 helpful votes, which doesn't prove how widespread the problem is, but it does indicate that other users found the experience relatable.

Example 2 — Refund stuck between multiple parties

I also found a Reddit discussion involving a UPI refund where the merchant said the refund was successful, while the customer said the money had not reached their bank.

The customer had contacted the merchant, Paytm and their bank, with each party providing different information. The customer eventually went to the National Consumer Helpline.

This is particularly interesting from a product perspective because the problem isn't simply:

"The refund is late."

The bigger problem is:

The customer doesn't know where the transaction currently stands or who is responsible for the next step.

Example 3 — UPI Lite balance issue

Another Reddit user described ₹3,000 disappearing from their UPI Lite balance after a failed transaction.

The user said Paytm suggested that the money might have been refunded to the bank, but the bank statement didn't show it. The user also reported that they couldn't get a clear resolution from the different parties involved.

Another UPI Lite discussion described a user whose balance was not displaying correctly for days and who reported difficulty getting support.

Example 4 — Difficulty getting support

A Reddit discussion from March 2026 described a Paytm user struggling to get support for cancelling a UPI AutoPay mandate. The user said they went through multiple conversations with the support system before eventually being able to raise a ticket.

These are individual customer experiences, so I wouldn't treat them as statistical proof of how often the problem happens.

But the same underlying theme appears in different situations:

payment failed → refund → pending transaction → missing money → support → unclear resolution

3. What Paytm currently provides

Paytm already has a fairly structured complaint flow.

According to Paytm's current support documentation, users can:

1. Open the Paytm app
2. Go to Profile
3. Open Help & Support
4. Describe the problem to the support assistant
5. Select the relevant transaction
6. Select the issue type
7. Follow the suggested resolution
8. Raise a support ticket if the issue isn't resolved

Paytm specifically lists issues such as failed payments, money debited but not credited, pending payments, wrong UPI transactions and refund-related issues.

Paytm also provides a way to track an existing complaint from the Help & Support section.

So this isn't a case of:

"Paytm doesn't have customer support."

It does.

The opportunity is more subtle.

4. The actual problem

After looking through the feedback, I don't think the main problem is simply "customer support is bad."

That would be too broad.

I think the more useful product problem is:

When a UPI transaction goes wrong, users don't always have enough clarity about what happened to their money, what Paytm is currently doing about it, and what they should do next.

This becomes particularly difficult when several parties are involved:

Customer → Paytm → Bank → Merchant → UPI/NPCI

The customer doesn't care which system caused the problem.

They mainly want to know:

"Where is my money?"

and

"When will I get it back?"

5. Why this matters

Payment products are different from many other apps.

If Netflix's recommendation page doesn't work properly, the user can simply leave.

But if ₹5,000 has been debited and the payment hasn't completed, the user is likely to keep checking the app and contacting support.

There is also a trust issue.

The customer may start thinking:

"Did the payment actually fail?"

"Was my money deducted?"

"Has the merchant received it?"

"Has the refund been initiated?"

"Is Paytm holding the money?"

"Should I contact my bank?"

"Should I contact the merchant?"

Paytm's own documentation acknowledges that some complaints can require verification involving the bank, beneficiary bank or UPI system and that some issues can take longer to investigate.

That makes **transparency and guidance** an interesting product opportunity.

6. My hypothesis

Hypothesis

If Paytm gives customers a much clearer, transaction-specific explanation of:

- what happened,
- where the money currently is,
- who is responsible for the next step,
- expected resolution time,
- and what the customer should do,

then customers may need fewer support interactions and feel more confident about the status of their money.

I would validate this before claiming that the solution will definitely improve customer satisfaction.

7. Proposed solution

"Payment Resolution Tracker"

Instead of treating a failed/pending/refund issue as a normal support ticket, Paytm could turn it into a simple **transaction resolution timeline**.

For example:

₹2,800 Refund

Refund initiated

✓ Merchant confirmed refund

Refund processing

 Bank/UPI confirmation pending

Expected update

Tomorrow by 6 PM

Current responsibility

Your bank is currently processing the credit.

What you need to do

Nothing right now.

If the money isn't credited by tomorrow:

[Escalate this issue]

The important part is that the customer shouldn't have to understand:

- ARN
- RRN
- UTR
- NPCI
- acquiring bank
- beneficiary bank
- payment gateway

unless those details are actually necessary.

The system should translate the technical status into normal human language.

8. Proposed user flow

Current experience

Payment problem

↓

Open Help & Support

↓

Chat/support assistant

↓

Find transaction

↓

Choose issue

↓

Raise ticket

↓

Wait

↓

Check support again

↓

Possibly contact bank/merchant

↓

Still unclear

Proposed experience

Payment problem detected

↓

Tap "**Track payment issue**"

↓

Transaction status explained in simple language

↓

What happened?

↓

Where is my money?

↓

Who is currently handling it?

↓

When should I expect resolution?

↓

What should I do now?

↓

Automatic updates

↓

If deadline passes → **Escalate**

9. Prototype

I would build the prototype around five screens.

Screen 1 — Payment status

Payment of ₹2,800

Status:

Refund in progress

The merchant has confirmed your refund. We're waiting for the money to reach your bank account.

Expected by: 28 September

[Track refund]

Screen 2 — What happened?

A simple timeline:

25 Sep — Payment completed

↓

26 Sep — Order partially cancelled

↓

26 Sep — Merchant initiated ₹2,800 refund

↓

27 Sep — Refund processing

↓

28 Sep — Expected in bank account

This gives the customer a simple story instead of forcing them to interpret transaction records.

Screen 3 — Where is my money?

Your ₹2,800 is currently being processed between the payment system and your bank.

You don't need to contact the merchant again right now.

Next expected update: 28 September

This screen is intentionally simple.

Screen 4 — Something went wrong

If the expected time passes:

Your refund hasn't arrived yet.

We've detected that the expected resolution time has passed.

[Get help]

The user should not have to start the entire support process again.

Screen 5 — Escalation

Show:

Issue: Refund not received

Amount: ₹2,800

Transaction: XXXX1234

Started: 26 September

Expected resolution: 28 September

Current status: Delayed

Then:

[Escalate this issue]

The support team receives the relevant transaction context automatically.

10. Why I prefer this over simply adding "human support"

One obvious solution would be:

"Give users a phone number and human customer support."

But that isn't necessarily the best product solution.

A large percentage of transaction issues may not require a human if the customer simply needs better information.

The better approach could be:

Automation for simple issues + clear status + human escalation when needed.

That could reduce unnecessary support contacts while still giving customers a clear escape route when something genuinely goes wrong.

This is something I would validate with actual Paytm support/contact data before making a business-impact claim.

11. Success metrics

I would measure the experiment using:

Primary metric

Payment issue resolution rate without repeat contact

Supporting metrics

- Average time to resolution
- Repeat support contacts per transaction
- Number of "Where is my money?" support queries
- Escalation rate
- Customer satisfaction after resolution
- Percentage of users who understand the transaction status
- Refund-related support tickets
- Average support handling time

Guardrail metrics

I would also monitor:

- Incorrect status information
- Incorrect estimated resolution times
- Failed escalations
- Increase in unnecessary escalations

Because giving users a confident but incorrect answer about their money could be worse than giving them no answer.

12. Experiment

I would run an A/B test.

Control

Current Paytm support experience.

Variant

Payment Resolution Tracker.

Users who experience eligible payment/refund issues are randomly assigned to either flow.

Then compare:

Support contacts

Repeat contacts

Resolution time

Customer satisfaction

Escalation rate

Successful resolution

I would particularly look at whether customers contact support less often **without increasing unresolved cases**.

13. Important product trade-off

The biggest challenge is **data accuracy**.

Paytm cannot simply tell a customer:

"Your money is with the bank."

unless it actually knows that.

A payment can involve multiple systems, and Paytm may not have complete visibility into every stage.

So the product should distinguish between:

Confirmed

"Merchant has confirmed the refund."

Processing

"The refund is being processed."

Waiting for external confirmation

"We're waiting for confirmation from your bank/payment network."

Unknown

"We haven't received a final status yet."

That honesty is important for a financial product.

14. What I would NOT build

I wouldn't start by building:

- a completely new support chatbot
- a huge redesign of the Paytm app
- another generic AI assistant
- a complicated transaction dashboard
- dozens of new settings

The problem is not a lack of features.

The opportunity is **making an already stressful situation easier to understand and resolve.**

15. What I learned from this case

The biggest learning for me from this case is that a customer complaint and a product problem aren't always the same thing.

I initially could have written:

"Paytm has poor customer support."

But after looking at different customer experiences, the more useful problem became:

"Customers need better visibility and guidance when a payment problem crosses multiple systems."

That gives me something much more specific to design and test.

It also reminds me that in fintech, **trust is part of the product experience.**

When money is involved, explaining what is happening can be almost as important as fixing the underlying issue.

Sources used

- Paytm's current UPI complaint process and issue categories.
- Paytm's current complaint-status tracking documentation.
- Paytm's refund/support documentation.
- Google Play customer review describing an unresolved refund issue.
- Reddit discussion about an unresolved UPI refund involving Paytm, a merchant and a bank.
- Reddit discussions about Paytm UPI/UPI Lite support and transaction issues.

Research note: Reddit and individual app-store reviews are anecdotal. I used them to identify recurring themes, not as statistical evidence of the frequency of the problem.

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